Stochastic Governance

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Chapter 1

The Determinism Problem in Policy Analysis

Public policy is made for a future that cannot be known. This is not a new observation -- it is embedded in every cost-benefit framework, every regulatory impact assessment, every scenario planning exercise conducted since the postwar formalization of policy analysis as a discipline. And yet the dominant tools of policy design remain stubbornly deterministic. They produce point estimates, project single futures, and commit resources to courses of action on the assumption that the model's central scenario will materialize. When it does not -- as it routinely does not -- the response is typically to update the model and commit again.

This book argues that the problem is structural, not technical. Deterministic policy design is not merely a consequence of computational limitations or data poverty; it is the expression of an underlying epistemic stance that treats uncertainty as a temporary condition to be resolved rather than a permanent feature to be managed. We propose an alternative stance, and with it an alternative set of tools: a probabilistic approach to policy design in which uncertainty is not a residual but a primary variable, and in which the goal of policy analysis is not to eliminate uncertainty but to produce commitments that remain robust across the range of futures that uncertainty permits.

The framework we develop -- which we call adaptive policy envelope design, or APED -- draws on three intellectual traditions. The first is Bayesian decision theory, particularly the work on decision-making under deep uncertainty developed in the 1990s and 2000s. The second is robust optimization, especially the scenario-based methods developed for engineering design under parametric uncertainty. The third is adaptive management theory from environmental governance, which has for three decades grappled with the challenge of making irreversible resource commitments in systems whose dynamics are not fully understood.

Our contribution is to synthesize these traditions into a coherent framework applicable to the full range of policy domains -- not only environmental policy, where adaptive management is native, but health policy, infrastructure, financial regulation, and social policy, where the tools have rarely been applied. The three case studies in Part II of this

book -- climate adaptation in coastal infrastructure, pandemic response protocol design, and long-term infrastructure investment under seismic risk -- demonstrate the framework's range and illustrate both its power and its limitations.

Chapter 3

Adaptive Policy Envelopes: Formal Foundations

Let P denote a policy commitment -- a specification of actions, resource allocations, or institutional arrangements that an authority will implement over some time horizon T. In conventional policy analysis, P is treated as a deterministic object: a point in a decision space D. The policy analyst's task is to find the P* that maximizes expected utility under some model M of how the world responds to policy actions.

The APED framework reframes this problem. Rather than specifying P as a point, we specify it as a probability distribution over D -- what we call a policy envelope, denoted E(P). The envelope encodes not a single commitment but a commitment distribution: the set of policy variants the authority is prepared to adopt, together with the probability assigned to each, conditional on the evidence state at each decision point in T.

Formally, let S denote the state space of the world -- all variables relevant to the policy domain -- and let I(t) denote the information set available at time t. An adaptive policy envelope is a mapping:

E: I(t) -> Delta(D)

where Delta(D) is the simplex over the decision space. At each time t, the authority observes I(t), updates E according to a Bayesian updating rule, and selects an action from the support of E(I(t)). The key departure from conventional adaptive management is that the updating rule itself is specified in advance, as part of the policy commitment -- it is not discretionary revision but rule-governed responsiveness to evidence.

This formalization has several important implications. First, it makes explicit the distinction between policy robustness (the property of performing adequately across a wide range of S) and policy flexibility (the property of responding appropriately to new information about S). Conventional policy design conflates these, treating flexibility as a de facto measure of robustness. APED treats them as analytically separate.